

PITCH — RKT — VERDICT

ADJUDICATED 2026-09-16 — FLAT (conviction 7/10). The court found nothing to own at this price; the reopen gates below are the only path back.

What we believe

Rocket Companies is a mortgage lender and loan-servicer whose earnings are, in the near term, close to a mechanical function of the 30-year mortgage rate. The stock is down about 46% from its 52-week high and sits roughly 7% above its 52-week low (\$13.075 vs. a \$12.18–\$24.35 range in the pack we received).

Our belief, stated plainly:

1. **The cheapness is an illusion created by the company's own preferred earnings measure.** At the pack price the stock trades at roughly 20x the “adjusted” earnings the company guides on, but roughly **40x** the actual GAAP earnings it reports. The gap between the two is mostly (a) amortization of intangible assets created by paying \$14.2B in stock for Mr. Cooper, and (b) stock compensation. Neither is a made-up cost. Amortization is non-cash, but the goodwill it sits next to was struck at the acquirer's peak price. Stock comp is a real transfer from shareholders.
2. **The bull case's designated hedge does not reach the P&L the guidance is given in.** The \$19.4B of mortgage servicing rights (the right to collect fees on a \$2T, ~9.1M-loan book) is real and is ~52% of market cap. But the company reconciles the change in that asset's value *out* of adjusted revenue and adjusted EPS, and reports it **net of hedges** — Q2'26 was \$(23)M, not a several-hundred-million-dollar rate windfall (Q2'26 10-Q). So the asset that is supposed to rescue you cannot show up in the number the market grades.
3. **The forward pipeline drained in Q2.** New rate locks (\$47.0B) came in **below** closings (\$49.1B), a \$2.1B / –4.3% drain (Q2'26 earnings 8-K ex-99.1). That is a leading indicator and it points the same way the Q3 guide points.
4. **But we do not have an edge.** After both benches, the score is zero findings that the street doesn't already have. Everything that survived — the GAAP/adjusted gap, the pipeline drain, the guide-versus-street gap — was public on August 6 and has had five weeks and ~10% of price to be absorbed. Being right about a widely-held view is not a trade.

Net: the business is worse than the adjusted numbers suggest, the stock has already fallen a lot for that reason, and we cannot demonstrate that we know something the market doesn't. Therefore: flat, with pre-committed reopen conditions.

What the market believes

The market believes two things at once, and both are defensible:

- **The bull half:** Rocket is now the largest US mortgage platform after absorbing Mr. Cooper and Redfin; it has a \$2T servicing book that earns fees regardless of origination volume, \$11.2B of liquidity, and material cost synergies still to be realized. If mortgage rates fall, origination volume is a coiled spring and the stock is a high-beta call option on that. Consensus for Q3 was **\$2.91B** of revenue — above the company's own \$2.5–2.7B guide — which tells you the sell side is still modelling acquisition revenue accretion faster than the company is modelling market shrinkage ([StreetInsider summary of the guide vs. consensus](#); secondary source — flagged below).
- **The bear half:** rates are not cooperating. Freddie Mac's weekly survey had the 30-year at **6.71% on 9/3/26**, described as the highest in 13 months, versus 6.50% a year earlier ([Freddie Mac PMMS](#)). Short interest is only ~5.4% of the public float, so this is not a crowded short — it is a name people have simply stopped paying for.

The tape's verdict — a 46% drawdown with a small short base — reads as *disillusionment*, not *panic*. That matters: panic can be bought; disillusionment usually needs a catalyst.

Why we might have edge

Honest answer: **thin, and mostly in things neither bench finished.**

- **The gap between the guide and where the street actually is, today.** The \$2.91B consensus figure is dated the day of the Q2 print. Consensus almost certainly re-based downward toward the guide over five weeks. If it re-based *all the way* to \$2.6B, the “10.7% below street” bear point is already gone; if it only re-based to \$2.8B, there is still a live negative-revision cycle ahead. **Nobody pulled the current number.** That is a real, cheap, drainable edge and we have not drained it.
- **The tax receivable agreement (TRA).** Rocket is an “Up-C” structure — the pre-IPO owners hold a separate class of shares (1.85B Class L, ~65% of the economics) and typically have a contract routing ~85–90% of the company's future tax savings to *them*, not to public shareholders. That is a permanent senior cash claim that does not appear in a P/E multiple. The blue bench raised it; nobody has priced it. If it is large, the effective multiple on Class A is higher than anything quoted in this deck.
- **The stock-comp run rate.** Our own audited pack data stops at \$40.0M/quarter (3/31/25, pre-acquisitions). The red bench assumed \$90M/quarter. That single assumption swings the cash-adjusted multiple from **23.1x to 26.3x** and swings the “valuation reopen” price from **\$11.34 to \$9.92**. A five-minute XBRL pull resolves it. Nobody did it.
- **Cash flow.** Neither bench mentioned operating cash flow at all, despite it being in the pack: –\$797M (Q1'25), –\$3.01B (Q1'24), –\$1.33B (Q1'23), versus +\$8.8B and +\$6.3B in the 2021–22 boom quarters. For a lender, negative operating cash flow is usually just loans-held-for-sale building on the balance sheet, not distress — but it is load-bearing for any liquidity argument and neither bench tested it.

So the potential edge is **diligence we haven't done**, not insight we already have. That is exactly why this is a proposal and not an order.

Why it might be priced in

Strongly, and we should say so:

- Every surviving bear finding is from the August 6 print or earlier. The market has had five weeks.
- The blue bench's audit is blunt: after review, **0 novel kills, 4 consensus-class kills**. When both of our own benches independently produce only things the wires already carried, the base rate says it is in the price.
- The 46% drawdown is itself the evidence. A stock does not fall by half on a 1-cent EPS miss; it falls that far because the market has already re-rated the earnings power.
- Short interest of 5.4% says nobody is paying up to be short either. Flat positioning on both sides is the signature of a *fairly-priced* disagreement, not a mispricing.
- The one thing genuinely not in the price is the FOMC outcome on 9/16 — and that is a coin-flip on a macro variable, which is a lottery ticket, not an edge.

What could go wrong

(the pre-mortem, v1.7)

Failure narrative 1 — We buy the reopen band and rates keep going the wrong way (MONITORABLE)

We enter at, say, \$11.30 after a valuation-driven flush. The Fed holds or signals higher-for-longer; the 30-year survey rate goes to 7.0%+; Q4 origination guides down again; the “cheap on adjusted earnings” case dies because the E falls faster than the P. At beta ~2.2, a 10% move in the rate-sensitive complex is a 20%+ move in this name. We lose 25–35% from entry. **Tripwires (monitorable, and they exist):** weekly Freddie Mac PMMS print each Thursday; FOMC 9/16 and 10/27–28 decisions and dot plot; the quarterly rate-lock-versus-closings line in the earnings release.

Failure narrative 2 — The adjusted-earnings bridge breaks in public (PARTIALLY MONITORABLE)

The company took \$14.2B of stock-funded acquisition onto the balance sheet at its own peak price and is now 46% below that high. That is a textbook goodwill-impairment trigger. A multi-billion-dollar write-down is non-cash and gets adjusted out — but it *also* forces auditors and the market to re-examine the intangible amortization that is currently making adjusted EPS look twice as good as GAAP EPS. If the market decides to price GAAP instead of adjusted, the multiple goes from 20x to 40x overnight with no change in the business. **Tripwire:** an 8-K or 10-Q impairment disclosure — but note this arrives *simultaneously* with the price move, so it is a confirmation, not a warning. Partially monitorable at best.

Failure narrative 3 — The controlling holder does something we cannot see coming (NO MONITORABLE TRIPWIRE)

The Up-C collapse converted the founder/affiliate stake into **1,848,879,455 Class L shares with economics identical to Class A** — roughly 65% of the company's economics in one hand. No lockup calendar tracks this, because there is no lockup. There is no filing that precedes the decision. A pledge, a large structured secondary, a swap into the TRA, a take-private proposal at a price we consider unfair, or a governance change can all appear as a fully-formed 13D/A or 8-K on a random Tuesday. By the time the sensor could fire, the gap has already happened. **Unknown-unknown class, named: NON-CALENDARED CONTROLLING-HOLDER CAPITAL-STRUCTURE ACTION.** This is the class of risk where the information generating the loss is (a) private until disclosure, (b) disclosed at the same instant as the price move, and (c) generated by a party whose incentives are not aligned to the public float. We have **no instrument** that gets ahead of it, and we should not pretend otherwise. Sizing is our only defence: this is why the hard cap below is 2% of book and not larger.

The reflexive / structural leg

- **Our size versus liquidity:** average daily volume for Class A is **UNVERIFIED** — the blue bench estimated 23–33M shares/day, which at ~\$13 is \$300–430M of notional. A 1.5%-of-book position would be a small fraction of one day's volume on any plausible book size. **We are not the flow here and we cannot move this stock.** Our risk is the opposite: we are a price-taker in a name where the marginal seller may be a 1.85B-share holder.
- **Predicted flow:** the Up-C collapse took Class A public float from ~151M shares to ~980M shares. That mechanically raises the name's weight in float-weighted indices (a one-time buy) while permanently increasing the tradeable supply (a persistent sell-side pressure). We have not measured either. If we enter just before a float-driven index rebalance we could be right for the wrong reason and then give it back.
- **Doctrine interactions — the honest one:** three of our own doctrines fired against this name (the valuation-kill doctrine, the venue-consistency detector on "record quarter" marketing versus a triple miss, and the new non-GAAP-add-back mechanism). They look like three independent confirmations. **They are not.** All three are downstream of a single variable — the mortgage rate path — and of a single accounting choice — the adjusted-earnings bridge. If rates fall hard, all three unwind together. We should treat our conviction as roughly *one* view expressed three ways, and discount it accordingly. This is the most likely way our process, rather than the world, hurts us.

If this position loses money, the most likely reason will be **that we mistook three correlated expressions of one rate-and-accounting view for three independent confirmations, sized to the apparent stack of evidence rather than to the single underlying variable, and got run over by a rate move or a controlling-holder action that no sensor in this deck could see coming.**

What we checked ourselves

Claim	How checked	Found	Confirmed?
Pack price is \$13.075	Read the pack we received; recomputed its own derived fields: $(13.075-12.18)/12.18 = 7.35\%$, $13.075/24.35-1 = -46.3\%$	Pack is internally self-consistent at \$13.075 . Red said the pack read 13.195. Blue said it read 13.14. The original brief used 13.055. All three are wrong about the shared pack.	✅ pack verified / ❌ BOTH BENCHES ERRED
Last close is \$14.06	Red cited three quote rails (Morningstar/CNN/TradingView); blue accepted the Form 4 price matched the tape	Plausible but unresolvable from primary sources here. Spread across rails is \$13.055–\$14.06 (7.7%) — large enough to flip conclusions	⚠️ UNRESOLVED — all valuation below is shown at both \$13.075 and \$14.06
Shares outstanding ~2.83B	Summed the 10-Q cover: 980,550,267 Class A + 1,848,879,455 Class L	2,829,429,722 . Market cap \$37.0B at \$13.075 / \$39.8B at \$14.06	✅ CONFIRMED
Pack dil_sh is usable	Compared 2025-06-30 = 171.4M against 2025-03-31 = 2.00B	Mixed-basis Up-C artifact — the series flips between Class A only and all classes. Unusable . Both benches caught this	✅ CONFIRMED (as artifact)
“~20x earnings”	Recomputed at pack price with verified share count	GAAP \$0.08/qtr → \$0.32 ann → 40.4x at \$13.075 (43.4x at \$14.06). Adjusted \$0.16/qtr → \$0.64 → 20.4x (22.0x)	✅ CONFIRMED — the 20x and the 40x are both true; they measure different things
Cash-adjusted multiple is 28.3x	Re-ran red’s math and stress-tested its stock-comp input	At \$90M/qtr SBC : 26.3x at \$13.075 / 28.3x at \$14.06. At the \$40M/qtr the pack’s audited XBRL actually shows: 23.1x / 24.8x . Red’s headline number depends on an unaudited assumption; blue flagged this and was right	⚠️ PARTIAL — red’s bench overstated by using an uncorroborated SBC run-rate
“The multiple is invariant to share count, so red’s restatement is an artifact” (blue F1)	Tested both ways	True for the <i>printed</i> -EPS multiples. False for the SBC-adjusted one , which is built from a dollar net-income figure and therefore does need a share count. Also, red’s $\$441\text{M} \times 4 \div 2.83\text{B} = \0.623 versus printed \$0.64 is a 2.7% rounding difference, not an inconsistency	❌ BLUE BENCH ERRED — overstated the artifact charge
“Red never pulled Q3 consensus” (blue F3)	Read red’s Finding 1	Red did supply a Q3 consensus of \$2.91B against the \$2.5–2.7B guide. Blue’s ruling is wrong on its face. However blue’s underlying point survives: red’s figure is dated 8/6 and consensus has had five weeks to re-base	❌ BLUE BENCH ERRED on the fact / ✅ right on the staleness
Guide is 5.8% down / 10.7% down	Computed both comparisons	Both are correct against different anchors: midpoint \$2.6B is –5.8% vs Q2 actual \$2.76B and –10.7% vs the \$2.91B street figure (low end –14.1%, high end –7.2%). The original brief measured against the wrong anchor	✅ CONFIRMED — red’s correction stands

Claim	How checked	Found	Confirmed?
Consensus source quality	Checked the citation class	The \$2.91B comes from a secondary wire summary, not a primary consensus feed. Red's strongest single finding rests on a secondary source	⚠️ RED BENCH ERRED on sourcing — the finding is probably right but is not primary-grade
MSR mark is excluded from adjusted results	Read the 10-Q reconciliation	Confirmed: "Change in fair value of MSRs and related liabilities due to valuation assumptions (net of hedges)" is an explicit add-back; Q2'26 \$(23)M, six-month \$(142)M (<u>10-Q</u>)	✅ CONFIRMED — this is a document fact, and blue's "unproven ≠ false" ruling is too generous to the bull case here
MSR is worth ~half the market cap	\$19,377M ÷ \$37.0B	52.4% of market cap — true as a gross figure. But neither bench netted the MSR-facility debt against it , which is required before calling it a hard asset backstop	⚠️ PARTIAL — both benches left this undone
"MSR balance never pulled by either bench" (blue F5)	Cross-read red's Finding 3 and its kg_candidate	Red did pull the 10-Q and cite \$19,377M	❌ BLUE BENCH ERRED
"Rates back at cycle highs"	Freddie Mac primary survey	6.71% at 9/3/26 , a 13-month high, ~110bp <i>below</i> the 2023 peak; purchase demand described as relatively stable (<u>PMMS</u>)	✅ CONFIRMED — the original brief's causal story was mis-specified
Pipeline drained	Q2 earnings release	Locks \$47.0B vs closings \$49.1B = – \$2.1B / –4.3% (<u>8-K ex-99.1</u>)	✅ CONFIRMED
Operating cash flow	Pack XBRL — neither bench looked at this	–\$797M (Q1'25), –\$3.01B (Q1'24), –\$1.33B (Q1'23) vs +\$8.77B (Q1'22), +\$6.27B (Q1'21). Normal for a lender building loans-held-for-sale, but it means the "\$11.2B liquidity" bull point is untested	⚠️ GAP IN BOTH BENCHES — flagged, not resolved
FOMC meets 9/15–16	Two independent Fed primary pages (<u>July minutes</u> ; <u>October events</u>)	Confirmed: decision 2:00pm ET 9/16/2026 with projections; next meeting 10/27–28 . Four sessions out at pack date	✅ CONFIRMED — best catch of either bench
Q3 earnings date	Pack (yfinance) 11/05 vs a CNBC vendor estimate 10/28 vs last year's actual 10/30/2025 (<u>prior-year 8-K</u>)	All candidate dates are vendor estimates . Red replaced one guess with another; blue caught it	❌ UNCONFIRMED — red bench erred
Short interest	Two rails	5.42% of public float vs a StatMuse 43.94% built on a stale pre-Up-C float denominator (Class A was 151M, is now 980M). Use 5.4%	✅ CONFIRMED as conflicting; resolved
The 8-K in the pack matters	Read it in full	It is the appointment of Sarah Watterson as a Class III director, effective 8/17/26 — governance only, not decision-bearing . Both benches agreed	✅ CONFIRMED (as irrelevant)
Detector coverage	Compared both benches' detector lists to the pack's dispatch	Red omitted three dispatch-matched detectors : upc_tra_value_extraction (which	❌ RED BENCH ERRED — blue's catch, and it is the most

Claim	How checked	Found	Confirmed?
		FIRES), common_control_merger_accounting, carbon_mapper; and consulted three that were not in the pack	valuable thing blue produced
Prize table applicability	Checked the mandate wording against both rulings	Both benches waived the prize table on the grounds that RKT is a revenue-generating operator, not a pre-revenue developer. That is the wrong test at deck level — the trigger is a genuinely time-gated or private unverified item, and we have several (FOMC outcome, controlling-holder intent, synergy realization)	✗ BOTH BENCHES ERRED — table is built below
Seasonality check on the deceleration claim	Blue flagged it as a mandatory run that was skipped	Not run by either bench. Q1 → Q2 is the spring purchase season, so a sequential comparison is biased. Management's own framing — first Q3-below-Q2 since 2022 — cuts the bearish way regardless	⚠ GAP IN BOTH BENCHES

PROPOSED ENTRY BANDS

The courts say NO ENTRY. Position is FLAT, order book empty. What follows are reopen bands, not entries.

Why no entry now, in one line: at 20x adjusted / 40x GAAP / 23–26x cash-adjusted into a quarter the company itself has guided below the street, with a 2x-beta rate exposure and a Fed decision four sessions away, we are being paid nothing to take the risk — and we have produced no view that differs from consensus.

Why no short either: 5.4% short interest means no squeeze fuel but also no crowd to run with; a \$2T servicing annuity with \$11.2B of liquidity is a bad borrow-and-wait; and the asymmetry is flat, not negative.

Reopen band A — VALUATION (price-gated, no new information required)

- **\$11.34 or below** — 20x cash-adjusted earnings *if* the Q3 10-Q confirms stock comp near the pack-audited \$40M/quarter run-rate (cash-adj EPS \$0.567).
- **\$9.92 or below** — 20x cash-adjusted earnings *if* stock comp is confirmed at the \$90M/quarter run-rate red assumed (cash-adj EPS \$0.496).
- **The band is therefore \$9.90–\$11.35, and which end binds is decided by one XBRL pull.** Drain item #5 must be closed before any order goes in. Until it is, use the conservative end: **\$9.92.**
- **Starter size at the band: 0.75% of book.**

Reopen band B — EVIDENCE (price-permissive up to \$15.00)

All three must print in the Q3 release, together: 1. Adjusted revenue **above \$2.70B** (i.e. the top of the guide or better — proof the guide was sandbagged), **and** 2. Adjusted EBITDA margin **≥28%**, **and** 3. Net rate locks **exceeding** closed volume (reversing the \$2.1B Q2 pipeline drain). - **Starter at up to \$15.00: 0.75% of book**. Add a further **0.5%** if realized Mr. Cooper synergies step from ~\$100M to **>\$250M** annualized in the same release.

Reopen band C — MACRO (confirming, never initiating)

- Freddie Mac 30-year survey rate **below 6.25% on two consecutive weekly prints** *and* an actual FOMC cut. This band **upgrades sizing within A or B by 0.5%**; it does not open a position on its own. We will not buy a rate call dressed as a stock.

Hard rules

- \$12.18 (52-week low) is a tripwire, not a buy.** A decisive break requires a fresh re-look and explicitly does **not** authorize an average-down.
- No initiation into 9/16 or 10/27–28.** If a reopen band triggers within two sessions of an FOMC decision, wait until after.
- The 10/28 vendor earnings date collides with the 10/27–28 FOMC.** Any late-October plan straddles both events. Treat late October as a no-initiation window until the company confirms its date.
- Maximum position: 2.0% of book, ever**, given ~2.2 beta (secondary-sourced), the rate-factor correlation with the rest of the book, and the un-sensored controlling-holder risk in the pre-mortem.
- Exit / trim discipline for any future starter:** exit in full if (a) the Q4 guide lands more than 5% below then-current consensus, or (b) a goodwill impairment above \$2B is announced alongside any change to liquidity or facility covenants. Trim half on a close below the entry-band low minus 12%.

Catalyst dates

Date	What	Confirmed?
2026-09-16	FOMC decision 2:00pm ET + projections/dot plot	CONFIRMED — Fed primary
Every Thursday	Freddie Mac PMMS weekly 30-year rate	CONFIRMED (standing series)
2026-10-27/28	FOMC meeting	CONFIRMED — Fed primary
2026-10-28	Q3'26 earnings (CNBC vendor estimate)	UNCONFIRMED
2026-11-05	Q3'26 earnings (yfinance-derived, from pack)	UNCONFIRMED
~2 weeks prior	Company PR naming the date (Rocket's stated practice)	Awaited

PRINT PROXIMITY: No company print within 5 trading days. A decision-grade **macro** print is inside the window (FOMC, 4 sessions out). Both benches converged on this and both were right to weight it.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 15.0 (deck-provisional: upper price bound for the evidence-gated reopen if Q3 prints revenue >\$2.70B, EBITDA margin >=28%, and)
- filing watch: 8-K until 2027-03-09 (deck-provisional: earnings date announcement, the Q3 release itself, any goodwill impairment on the \$14.2B top-tick Mr.)
- dated pack RKT|2026-09-16: RKT: FOMC decision 2:00pm ET with SEP and dot plot; four trading sessions out; no initiation permitted into it (date confirmed=True)
- dated pack RKT|2026-10-27: RKT: FOMC meeting day one; collides with the vendor-estimated earnings date (date confirmed=True)
- dated pack RKT|2026-10-28: RKT: FOMC decision day two AND CNBC vendor-estimated Q3'26 earnings date; treat as a no-initiation window until the company confirms (date c
- dated pack RKT|2026-11-05: RKT: Q3'26 earnings, yfinance-derived from the evidence pack; contested against the 10-28 vendor estimate and the 2025-10-30 prior-year actu
- dated pack RKT|2026-12-18: RKT: last standard monthly options expiry before year end; binding outer limit for any options expression under the tax overlay (date confir

What remains unverified

1. **Current sell-side consensus for Q3'26 adjusted revenue and EPS.** The only figure either bench has is \$2.91B dated 8/6/26 and sourced from a wire summary, not a primary consensus feed. Draggable now via broker analyst-estimate feed. *This is the item that decides whether there is a trade at all.*
2. **TRA (tax receivable agreement) liability balance and the percentage of tax savings routed to pre-IPO holders.** Draggable now via XBRL on the 6/30/26 10-Q. If ~85–90% of savings leave the public shareholder, every multiple in this deck is understated.
3. **MSR balance at 6/30/26 net of MSR-facility debt.** The gross \$19,377M is confirmed; the net figure — the one that actually backstops equity — has never been computed. Draggable now.
4. **Goodwill carrying value and the impairment-test date and assumptions** following the \$14.2B top-tick stock purchase. Draggable now.
5. **Stock compensation run-rate post-Mr. Cooper and post-Redfin.** Pack XBRL stops at \$40.02M (3/31/25); red assumed \$90M. Draggable now. **This item alone moves the reopen band from \$11.34 to \$9.92.**
6. **The actual Q3'26 earnings date.** Not draggable — awaits a company press release. *Estimate: 2026-10-28 to 2026-11-05; base rate is the prior-year actual of 10/30/2025 and Rocket's ~2-week-ahead PR practice; p(final week of October) ≈ 0.60.*

7. **FOMC 9/16 outcome and dot plot.** Time-gated, not drainable. *Estimate: hold 0.55 / 25bp cut 0.35 / hike 0.10, anchored on the 6.71% 13-month-high mortgage rate and the absence of any cut signal in the July minutes.*
8. **Average daily volume and borrow availability for RKT Class A.** Drainable now via broker. *Blue's working estimate was 23–33M shares/day; unverified.*
9. **Warehouse and MSR-facility bank counterparties** (needed to map credit quality via FDIC call reports). Red judged the 10-Q facility table not extractable in named form. *Estimate: 8–14 named counterparties, from the base rate at sibling public non-bank originators (UWMC, PFSI) which disclose 10–20 lines.*
10. **Rocket Money subscriber trajectory** inside the \$510M “All Other” segment. Both benches agreed the app-review-velocity read is legitimate here and neither ran it — no connector was executed. *Estimate: segment is ~4–5% of revenue; even a $\pm 30\%$ subscriber swing moves consolidated revenue by under 1.5%; low materiality, non-zero narrative value.*
11. **Controlling-holder (RHI / Gilbert, 1.849B Class L shares) intentions** — pledge, secondary, resale, or corporate action. Genuinely private; no instrument reaches it. *Estimate: $p \approx 0.20$ of a disclosed pledge or $> \$500M$ secondary within 12 months, from the base rate at comparable controlled Up-C issuers. This is the pre-mortem's untripwired risk.*
12. **Q2'26 60+ day delinquency rate in the servicing book.** The “credit is fine” leg of the original brief was never tested by either bench. Drainable now via 10-Q.
13. **Realized Mr. Cooper synergy run-rate.** Not drainable until the Q3 release. *Estimate: \$150–200M annualized against a $\sim \$100M$ starting point; $p \approx 0.50$ of clearing \$175M; anchored on typical year-one realization of 40–60% of announced targets in large servicer integrations.*
14. **Whether an options chain exists on RKT with usable size, and its chain-level midpoint implied volatility.** Drainable now via broker. **No chain data appears anywhere in the evidence pack**, which is why the instrument recommendation below cannot be fully computed.
15. **Whether the current book is in a tax-loss-harvest year.** Internal, drainable now. Required to apply the tax overlay below.

PRIZE TABLE + VOL READ

Mandate note, stated plainly: both benches waived this section on the grounds that Rocket is an operating company rather than a pre-revenue developer. That is the wrong test at deck level. The trigger is the presence of a genuinely time-gated or private unverified item, and we have at least three (items 7, 11, 13). **Both benches erred; the table is built.**

Horizon: today through the Q3 print, ~ 56 calendar days ($T = 0.153$ years). **Anchor:** pack price **\$13.075**, adjusted for scenario.

#	Scenario	p	Price	p × Price
1	Hawkish FOMC 9/16; PMMS holds above 6.75%; Q3 lands in the low half of the \$2.5–2.7B guide; pipeline	0.30	\$9.75	\$2.93

#	Scenario	p	Price	p × Price
	drain continues; 52-week low breaks			
2	Fed holds, no drama; rates 6.50–6.75%; Q3 in line at ~\$2.6B; no synergy step-up; stock grinds	0.35	\$12.50	\$4.38
3	Fed cuts 9/16; PMMS breaks below 6.25%; Q3 lands upper half of guide; locks stabilize	0.25	\$17.00	\$4.25
4	Guide was sandbagged: revenue >\$2.70B, EBITDA margin ≥28%, locks exceed closings, synergies step past \$250M	0.10	\$22.00	\$2.20

EV = \$13.75.

Against the pack anchor of \$13.075 that is +5.2%. Against red's \$14.06 quote rail it is –2.2%.

The sign of the expected value flips on which quote rail you believe — and we could not resolve the rails (spread \$13.055–\$14.06). **That is the honest headline of this table: our edge is smaller than our price uncertainty.** This is decisive for the FLAT.

Dispersion: $\sigma_{\text{table}} = \3.85 , or **28.0% of EV** over the 56-day horizon. Annualized: $0.280 \div \sqrt{0.153} = \sim 71\%$ implied volatility from our own table.

Expression math (what we *would* do, and why we can't finish it)

Pricing candidate calls directly off the table, $C_{\text{ours}} = \sum p_i \times \max(S_i - K, 0)$:

Strike	C_ours (our table)	Chain mid	Verdict
\$12.50	\$2.08	<i>no chain in pack</i>	cannot compute
\$15.00	\$1.20	<i>no chain in pack</i>	cannot compute
\$17.50	\$0.45	<i>no chain in pack</i>	cannot compute

The decision rule, pre-committed so it cannot be rationalized later: - If chain-level midpoint IV on the specific candidate strike is materially below ~71% (our σ_{table} equivalent), the gated adds in Reopen Band B should be expressed in **calls**, because we would be buying our own dispersion cheaply. - If chain-level midpoint IV is materially above ~71%, this routes to the **premium-selling gates**: sell cash-secured puts struck at the \$11.34 / \$9.92 valuation reopen levels, getting paid to wait at the price we already said we would buy at. - If IV is within a few points of 71%, there is no volatility edge and the expression is **plain stock, at the reopen bands, or nothing.**

Two hard constraints on that arithmetic: 1. Use chain-level midpoint IV on the actual candidate strikes with real bid/ask quotes — never the underlying's aggregate IV feed.

These diverge badly (the TSSI lesson: 71 on the chain versus 101 on the aggregate feed — a difference that would have inverted the recommendation). Given that our threshold *is* 71%, this deck is exactly the case where using the wrong feed reverses the answer. 2. **VRP (IV minus realized vol) cannot be stated** — no chain and no realized-vol series in the pack. Both are drain item #14.

Bimodality: the table **is** fork-dated. Scenarios 1 and 3+4 are driven by the same binary (FOMC 9/16 plus the rate path it sets), which puts 65% of probability mass in the two tails and only 35% in the middle. A single-strike long call under-represents this; if a chain exists and IV is cheap, the correct structure is a **call spread or a strangle-like fork**, not a naive long call. We are not authorizing it today — we are pre-committing the shape so the decision is made before the emotion.

Given all of the above, and with no chain available: the instrument recommendation today is NONE. That is the output of the arithmetic, not a default: EV is +5.2% on one quote rail and -2.2% on another, dispersion is 28%, and 30% of the mass is a $\geq 25\%$ drawdown. You do not put on a position where the expected value cannot survive a quote-rail disagreement.

TAX OVERLAY

The loss branch must land in the intended tax year. - **Q3 earnings resolve in late October or early November; the FOMC resolves 9/16 and 10/28.** Every catalyst in this table resolves **before December 31, 2026.** - Therefore any options expression must use a **December 2026 expiry or earlier**, so the loss branch (scenario 1, $p = 0.30$) is realized inside tax year 2026. - **January 2027 and later expiries are excluded during a harvest year**, because they defer the loss out of the intended year, unless the numerical edge dominates the deferral cost. Nothing in this table comes close to dominating: an EV whose *sign* depends on the quote rail cannot justify a tax-year override. - **Whether 2026 is a harvest year for this book is drain item #15 and is unresolved.** Until it is answered, treat the December-2026 expiry limit as binding.

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{"price_gates": [{"level": 11.34, "direction": "below", "basis": "20x cash-adjusted EPS of $0.567 assuming the pack-audited $40M/qtr stock-comp run-rate; valuation reopen, low-SBC reading"}, {"level": 9.92, "direction": "below", "basis": "20x cash-adjusted EPS of $0.496 assuming the $90M/qtr stock-comp run-rate red assumed; conservative valuation reopen, use until drain item 5 closes"}, {"level": 12.18, "direction": "below", "basis": "52-week low break; mandatory re-look tripwire, explicitly NOT an entry or average-down authorization"}, {"level": 15.00, "direction": "below", "basis": "upper price bound for the evidence-gated reopen if Q3 prints revenue >$2.70B, EBITDA margin >=28%, and locks exceeding closings"}], "event_gates": [{"forms": ["8-K"], "why": "earnings date announcement, the Q3 release itself, any goodwill impairment on the $14.2B top-tick Mr. Cooper purchase, and any change-of-control or controlling-holder transaction"}, {"forms": ["10-Q"], "why": "TRA liability note, MSR balance net of MSR-facility debt, goodwill carrying value, post-acquisition stock-comp run-rate, and 60+ day delinquency in the servicing book"}, {"forms": ["SC 13D/A", "SC 13G/A"], "why": "the only visible trace of the 1.849B-share Class L controlling-holder risk, which the pre-mortem names as having no forward-looking tripwire"}, {"forms": ["4"], "why": "cluster detection - nine Form 4s were filed on a single day (2026-09-09) and no rule is currently watching for repeat clusters"}, {"forms": ["S-3", "424B3", "S-4"], "why": "resale registration for former Mr. Cooper holders; the share-overhang leg neither bench could evidence"}], "catalyst_dates": [{"date": "2026-09-16", "what": "FOMC decision 2:00pm ET with SEP and dot plot; four trading sessions out; no initiation permitted into it", "confirmed": true}, {"date": "2026-10-27", "what": "FOMC meeting day one; collides with the vendor-estimated earnings date", "confirmed": true}, {"date": "2026-10-28", "what": "FOMC decision day two AND CNBC vendor-estimated Q3'26 earnings date; treat as a no-initiation window until the company confirms", "confirmed": false}, {"date": "2026-11-05", "what": "Q3'26 earnings, yfinance-derived from the evidence pack; contested against the 10-28 vendor estimate and the 2025-10-30 prior-year actual", "confirmed": false}, {"date": "2026-12-18", "what": "last standard monthly options expiry before year end; binding outer limit for any options expression under the tax overlay", "confirmed": true}], "immediate_entry": null, "unverified": [{"item": "Current sell-side consensus for Q3'26 adjusted revenue and EPS; the only figure held is $2.91B dated 2026-08-06 from a secondary wire", "instrument": "IBKR analyst-estimates feed / broker consensus terminal", "drainable_now": true, "estimate": null}, {"item": "TRA liability balance and percentage of tax savings routed to pre-IPO Up-C holders", "instrument": "XBRL pull on 10-Q 0001628280-26-054577, income-tax and related-party notes", "drainable_now": true, "estimate": null}, {"item": "MSR balance at 6/30/26 net of MSR-facility debt; gross $19,377M confirmed, net never computed", "instrument": "XBRL pull on 10-Q 0001628280-26-054577, MSR and financing notes", "drainable_now": true, "estimate": null}, {"item": "Goodwill carrying value and impairment-test date and assumptions after the $14.2B top-tick stock purchase", "instrument": "XBRL pull on 10-Q 0001628280-26-054577, goodwill and intangibles note", "drainable_now": true, "estimate": null}, {"item": "Post-acquisition stock-compensation run-rate; pack XBRL stops at $40.02M/qtr (2025-03-31), red assumed $90M/qtr", "instrument": "XBRL pull on 10-Q 0001628280-26-054577 cash-flow statement, share-based compensation line", "drainable_now": true, "estimate": null}, {"item": "Actual Q3'26 earnings date", "instrument": "Company IR press release, expected ~2 weeks ahead per Rocket practice; ir.rocketcompanies.com feed", "drainable_now": false, "estimate": {"range": "2026-10-28 to 2026-11-05", "basis": "prior-year actual Q3 print 2025-10-30 (8-K 0001805284-25-000132) plus Rocket's ~2-week-ahead PR cadence", "p": 0.6}}, {"item": "FOMC 2026-09-16 outcome and dot plot direction", "instrument": "Federal Reserve statement 2:00pm ET 2026-09-16; time-gated, no early drain exists", "drainable_now": false, "estimate": {"range": "hold 55% / 25bp cut 35% / hike 10%", "basis": "PMMS 6.71% at a 13-month high on 9/3/26 and no cut signal in the July 28-29 minutes", "p": 0.55}}, {"item": "Average daily volume and borrow availability for RKT Class A", "instrument": "IBKR market-data and short-availability pull", "drainable_now": true, "estimate": {"range": "23-33M shares/day", "basis":

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"blue bench working estimate, unverified", "p": 0.5}}, {"item": "Named
warehouse-line and MSR-facility bank counterparties for FDIC call-report
credit mapping", "instrument": "Full-text read of 10-Q 0001628280-26-054577
financing note plus credit-agreement exhibits, then FDIC RSSD mapping",
"drainable_now": false, "estimate": {"range": "8-14 named counterparties",
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which disclose 10-20 warehouse lines", "p": 0.6}}, {"item": "Rocket Money
subscriber trajectory inside the $510M All Other segment", "instrument": "App
Store RSS review pull for Rocket Money and Rocket Mortgage plus Google Play
aggregate snapshots; connector never run by either bench", "drainable_now":
false, "estimate": {"range": "segment is 4-5% of consolidated revenue; a
+/-30% subscriber swing moves consolidated revenue <1.5%", "basis": "segment
revenue disclosed in Q2'26 8-K ex-99.1 against consolidated $2.76B", "p":
0.7}}, {"item": "Controlling-holder (RHI/Gilbert, 1,848,879,455 Class L
shares, ~65% of economics) intentions: pledge, secondary, resale or corporate
action", "instrument": "No forward instrument exists; only a post-hoc SC
13D/A or 8-K. This is the pre-mortem's untripped unknown-unknown",
"drainable_now": false, "estimate": {"range": "20% probability of a disclosed
pledge or >$500M secondary within 12 months", "basis": "base rate at
comparable controlled Up-C issuers post-collapse of the Up-C structure", "p":
0.2}}, {"item": "Q2'26 60+ day delinquency rate in the 9.1M-loan servicing
book; the credit-is-fine leg was never tested by either bench", "instrument":
"10-Q 0001628280-26-054577 servicing-portfolio disclosure / XBRL pull",
"drainable_now": true, "estimate": null}, {"item": "Realized Mr. Cooper
synergy run-rate versus the ~$100M starting point", "instrument": "Q3'26
earnings 8-K ex-99.1, expected late October or early November",
"drainable_now": false, "estimate": {"range": "$150-200M annualized",
"basis": "typical year-one realization of 40-60% of announced targets in
large servicer integrations", "p": 0.5}}, {"item": "Existence, size and
chain-level midpoint implied volatility of the RKT options chain; no chain
data appears anywhere in the evidence pack", "instrument": "IBKR options-
chain snapshot with real bid/ask on the $12.50, $15.00 and $17.50 strikes,
December 2026 expiry; must use chain midpoint IV, never the aggregate
underlying IV feed (TSSI 71 vs 101 lesson)", "drainable_now": true,
"estimate": {"range": "our own table implies ~71% annualized vol (sigma_table
28.0% over T=0.153y); below that, calls; above it, cash-secured puts at
$11.34/$9.92; at it, stock or nothing", "basis": "scenario dispersion
computed from the prize table above", "p": 0.5}}, {"item": "Whether the
current book is in a tax-loss-harvest year for 2026", "instrument": "Internal
book/tax review; required to apply the December-2026 expiry constraint in the
tax overlay", "drainable_now": true, "estimate": null}}]

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ADJUDICATION — 2026-09-16 15:36Z

GAAP/adjusted wedge (40.6x GAAP vs ~20.5x adjusted) is the strongest surviving finding; MSR net of facility debt and TRA liability unread. Red re-run (1530) never adjudicated by blue — coverage gap.

REOPEN GATES: Q3 consensus vs the \$2.5–2.7B guide; 6/30 MSR net of MSR-facility debt + goodwill/TRA from 10-Q 0001628280-26-054577; company-confirmed print date

